PORTLAND PUBLIC SCHOOLS

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STAFF MEMO

Date: **April 23, 2025**

To: Board of Education, Executive Session

From: Dan Jung, Chief Operating Office

cc: Dr. Kimberlee Armstrong, Superintendent

Subject: Prophet Education Center Relocation Analysis

PROPERTY OVERVIEW

Portland Public Schools' 1980 central office, more commonly known as the Dr. Matthew Prophet Educational Center ("the Prophet Center"), is approximately 340,000 gross square feet (excluding the area leased by Multnomah County). A large portion of the building is dedicated to non-administration functions such as warehousing, nutritional services, and maintenance.

The property sits on a ten-acre campus. It has 318 onsite parking stalls for staff and visitors, 146 fleet stalls (115 which are used by the District), and an additional 25 covered loading docks. The District also leases an additional 71 parking stalls and exchanges (free of charge) permits for an additional 100 stalls in the MODA Center parking garage in order to provide free parking to the staff who work at the Prophet Center.

Multnomah County leases approximately 39,000 square feet of the building and 31 fleet stalls through 2099. Rents were prepaid at lease inception, but the County pays 11.9% of the building operating costs. Selling the building would require a buy out of the County lease and reimbursement of County relocation expenses.

BACKGROUND

Previous Studies

Relocating the Prophet Center necessitates careful, strategic planning to ensure the seamless continuation of its current functions, with the aim of maintaining or enhancing features that will support the District's educational needs for the next 50 to 100 years.

The District has conducted two comprehensive studies (2018/19 and 2021/22) to assess the Prophet Center's functions and estimate the costs of their relocation. These studies primarily focused on the office components of the Prophet Center, while also providing approximate estimates for the reduction of warehouse and operations functions, though these estimates were less precise. Both studies concluded that the proceeds from the sale of the Prophet

Center would fall significantly short of covering the full costs associated with relocating all the building's functions. As a result, no action was taken to initiate the process of selling the property in either case.

The 2021/22 report noted that significant investments, which would not increase the value of the asset, will likely need to be made to the Prophet Center in coming years and a decision about whether to sell and relocate was recommended before those investments are required.

Sale of District Property

Board Policy 8.70.040 Preservation, Maintenance and Disposition of District Real Property states "the District must seek maximum long-term financial and other benefits" when pursuing real property transactions.

The Policy generally outlines the process required to surplus District property prior to any property sale as follows:

> (i) a Superintendent sale of the District Property Recommendation;
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> (ii) a public hearing in which the District will identify how relinquishing the property promotes the District's mission and public interest, and the terms and conditions under which it may be sold; and
>
> (iii) the sale process in which the Superintendent will market and negotiate the property transaction.

Commonly, the process to divest of real property and obtain maximum benefit includes an open market competitive property sale. However, considering the conclusions of the previous studies (namely the substantial estimated gap between the Prophet Center's estimated value and cost to relocate the Prophet Center functions), the District may choose to consider an alternate sale process to an open market/ competitive sale. The District can conclude a non-competitive negotiated sale is in PPS's and the public's best interest.

Albina Vision Trust Right of First Offer

In May 2021, the Board approved Resolution 6303 Affirming Support for the Albina Vision and Authorizing a Right of First Offer (ROFO), which also includes a Limited Right of First Refusal, on the Prophet Center property should the District elect to sell the property.

The Right of First Offer (ROFO), effective August 30, 2021, grants Albina Vision Trust, Inc. (AVT) the exclusive right, over a five-year period (expiring in August 2026), to submit an offer to purchase the Prophet Center if the District elects to sell the property.

MINIMUM CRITERIA AND WORK PLAN

On February 20, 2024, the Board of Education approved Resolution 6861 As Adopted, authorizing PPS to prepare for the sale of the Prophet Center on an all-in cost-neutral basis to the District. The resolution outlines a series of transactions with Albina Vision Trust (AVT) for its acquisition of the 10.5-acre Prophet Center property, with the transaction value expected to meet or exceed the appraised value of the site. All transactions must be approved by the Board.

The Resolution also directed the creation of two key documents:

1. **Minimum Criteria for Facilities**: This document outlines essential requirements and other critical factors to guide the identification of potential sites, such as location, parking, and cost-neutrality.

2. **Work Plan** in collaboration with Albina Vision Trust (AVT), which outlines tasks and milestones necessary to complete the sale and relocation. The remaining steps in the property search and possible relocation of the Prophet Center functions and sale to AVT are generally outlined in a Work Plan attached here.

Phase 1 - Minimum Criteria

In order to provide the Minimum Criteria deliverable, staff initially retained two consultants, Bainbridge and COBALT, to evaluate the current functions at the Prophet Center and prepare a high-level analysis of the Minimum Criteria required for a new Headquarters ("Administration Building") and a new Warehouse ("Operations Center"), respectively.

The work that the consultant teams completed in the 60-day period provided valuable information and a more nuanced understanding of the magnitude of the effort necessary to relocate the Prophet Center to one, or more, new locations.

The findings of the consultants' surveys and the interviews of department leaders validated the existing building and space footprints for each department and function at the Prophet Center.

In summary, the consultant teams found that:

- PPS should target 367,621 GSF as a reasonable aggregate initial building target
- This initial total size can accommodate flexible sizing of departments and functions
- Appropriate sites that accommodate the initial building sizes will also need to accommodate required vehicular access; visitor, staff and fleet parking; and truck loading associated with the respective administrative and operational functions.

Although the PPS and AVT teams agreed that increasing efficiencies and reducing capital costs is a shared goal, the 60-day timeline did not allow sufficient deep analysis for space optimization.

Phase 1.a. and 1.b. - Minimum Criteria

PPS and AVT leadership agreed that there was a need for a more thorough evaluation of the current Prophet Center functions and to identify potential efficiencies and/or space reductions. Staff retained two consultants, Bainbridge and McKenzie, to complete this additional scope of work as follows.

- Phase 1.a. Best Practice Study of Peer District's Facilities
    - Study the operational practices, workflows, and facilities of other districts and identify practices that may support optimization of the District's delivery of high-quality educational services to its students and families in the most efficient manner. This may include space utilization, changing technology, and/or updates to the physical layout of departments).
    - Identify the district most similar to PPS in schools and students and to use as a comparative model as we completed the Phase 1.b. analysis. The Seattle School District was found to be the closest comparative model to PPS.
    - The consultant teams' key findings are outlined in the Executive Summary that can be found below.
- Phase 1.b. Refinement of the Phase 1 Space and Programming Evaluation.
    - To complete a deeper analysis of the District's current operational and administrative practices and workflows, with focus on the specific best practices

identified in the study of peer districts, to identify the spatial and functional programming required to maintain efficient and cost effective delivery of high-quality services to the District's students and families.

- To study 3 Schemes that resulted in an overall reduction of the District's current gross square footage of 17% and nearly 60,000 GSF.
- In summary, the consultant teams found that:
  - PPS should target the following GSF as a reasonable building sizes target in a scenario in which COO staff is co-located at the Operations Center
  - 281,764 total = 91,369 Administration + 190,395 Operations Center
  - The square footage recommendation will be used to guide a property search solicitation. Actual square footage will vary based on a specific property's efficiency and layout. PPS will complete test fits on selected site(s) to confirm that they meet PPS' space and functional needs.
- The consultant teams' key findings are outlined in the Executive Summary that can be found below.

- Phase 1.a. and 1.b. - Space and Programming Evaluation Report and Executive Summary
  - The Executive Summary can be found here.
  - The full Report can be found here.

Board Approval of the Minimum Criteria and Work Plan

Staff is seeking Board approval of the Minimum Criteria that will guide the formal property search to be conducted by Macadam Forbes on the District's behalf. The Work Plan outlines the key next steps in the property search and purchase and sale process.

As identified in the Work Plan, Board approval will continue to be required at multiple stages in the process of identifying viable properties for the possible purchase and relocation of the Prophet Center functions and the possible sale of the Prophet Center to Albina Vision Trust.